AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BUS115
SMALL BUSINESS MANAGEMENT

MTA
2025-2026 / FALL Semester

20-November-2025
Version B

umber of Exam Pages: 4 cluding this cover sheet)	Time Allowed: 1.5 Hrs.

tructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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ANSWER ALL OF THE FOLLOWING QUESTIONS

Question 1: Select the correct answer for each of the following sentences and write the answer in your answer booklet **(25 sentences, 25 marks, chapters 1, 3, 4)**

1. **All of the following are characteristics of the typical entrepreneur except _____.**
   A) confidence in his/her ability to succeed
   B) value of money over achievement
   C) desire for immediate feedback
   D) a future orientation

2. **A product or service feasibility analysis determines the degree to which a product or service idea appeals to potential customers and identifies the necessary resources.**
   A) TRUE
   B) FALSE

3. **The purpose of a feasibility study is to determine whether a business idea is worth pursuing.**
   A) TRUE
   B) FALSE

4. **_____ is necessary for building a competitive advantage and for business survival.**
   A) One single idea
   B) A motivated owner
   C) Creativity
   D) A low-priced product

5. **Entrepreneurship is a constant process that relies on _____.**
   A) creativity, innovation, and profit
   B) the ability to win over the consumer
   C) creativity, innovation, and application in the marketplace
   D) intellectual property rights

6. **An entrepreneur is a person who _____.**
   A) is willing to attempt to implement a business concept and then give up if it does not meet immediate expectations
   B) understands the process of developing an idea and does not need to understand what it means to bring that idea to a viable business concept
   C) knows that the concept they are about to develop will result in a profitable business
   D) creates a new business concept for the purpose of achieving profit and growth by assembling the necessary resources to capitalize on identified opportunities

7. **Entrepreneurs who repeatedly start businesses and grow to a sustainable size before striking out again are known as _____ entrepreneurs.**
   A) opportunistic
   B) persistent
   C) serial
   D) classic

8. **When developing creative solutions to modern problems, entrepreneurs must _____.**
   A) go beyond merely using whatever has worked in the past
   B) limit the creative process to only profitable ventures
   C) remember what has worked in the past
   D) pay attention to limiting factors

9. **An effective tool used to help assess ideas is the _____.**
   A) idea toolkit
   B) idea dashboard
   C) idea sketch pad
   D) idea metric

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10. **The process of determining whether an entrepreneur's idea is a viable foundation for creating a successful business is known as a(n) _____.**

A) business plan
B) strategic analysis
C) industry analysis
D) feasibility analysis

11. **An entrepreneurial "secret" for creating value in the marketplace is _____.**

A) applying creativity and innovation to solve problems
B) creating new products and services
C) learning by doing
D) applying lessons learned from history

12. **Entrepreneurs who start businesses because they cannot find work any other way are called _____.**

A) necessity entrepreneurs
B) serial entrepreneurs
C) opportunity entrepreneurs
D) corporate cast-offs

13. **Research and studies have isolated a set of characteristics that can predict who will succeed as an entrepreneur.**

A) TRUE
B) FALSE

14. **Creativity is the ability to develop new ideas and to discover new ways of looking at problems and opportunities.**

A) TRUE
B) FALSE

15. **All of the following represent barriers to creativity that entrepreneurs impose upon themselves except _____.**

A) focusing on being too logical
B) being too practical
C) blindly following rules
D) searching for more than one answer

16. **Entrepreneurs typically identify just one business idea for any given market need.**

A) TRUE
B) FALSE

17. **Innovation is the ability to develop new ideas and to discover new ways of looking at problems and opportunities.**

A) TRUE
B) FALSE

18. **A(n) _____ is the process of examining a need in the market, developing a solution for that need, and determining the entrepreneur's ability to successfully turn the idea into a business.**

A) business plan
B) strategic analysis
C) idea assessment
D) feasibility analysis

19. **Potential drawbacks of entrepreneurship may include _____.**

A) uncertainty of income, risk, long hours, and high stress
B) uncertainty of income, risk, easy hours, and frequent vacations
C) uncertainty of income, risk, long hours, and the immediate accumulation of wealth
D) certainty of income, risk, long hours, and high stress

20. **The ability to develop new ideas and to discover new ways of looking at problems and opportunities is called _____.**

A) entrepreneurship
B) innovation
C) creativity
D) creative thinking

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Question 2: (25 Marks, chapter 1)

Entrepreneurship is claimed to have many benefits and also several drawbacks.

a) List 5 benefits of entrepreneurship (5 marks) and discuss 1 of them in detail (5 marks).

b) List 5 of entrepreneurship drawbacks (5 marks). In your opinion, which one of them is more crucial to entrepreneurs in the Arab world (5 marks)? Justify your opinion (5 marks).

Question 3: (25 Marks, chapter 3)

a) Differentiate creativity and innovations (10 marks) and give real-life examples of each (8 marks).

b) List the seven steps of the creative process (7 marks).

Question 4: (25 Marks, chapter 4)

What is feasibility analysis (5 marks)? List the 4 components of a feasibility analysis (10 marks) and discuss one of them in details (10 marks).

END OF EXAM

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